

Friday, March 20, 2026

MARKET SNAPSHOT | Thursday Close + Friday Futures

S&P; 500	NASDAQ	DOW	Brent Oil	Gold	BTC
6,606	22,091	46,021	\$108.65	\$4,810	\$69,500
-0.27%	-0.28%	-0.44%	+1.1%	-2.3%	-3.5%
DOW Futures		S&P; Futures		NQ Futures	
+0.23%		+0.16%		+0.10%	
+0.23%		+0.16%		+0.10%	

Context: Markets are on track for their **fourth consecutive losing week** — the longest losing streak in over a year. The S&P; 500 trades just above its 200-day moving average (~6,615), a level not breached since May 2025. The Dow is now **8.3% below its February 10 all-time high**; NASDAQ sits nearly **8% below its October 2025 record**. Both indices are approaching correction territory (-10% from highs). Friday futures ticked modestly higher after Israeli PM Netanyahu suggested the Iran conflict may resolve sooner than feared.

MACRO & FEDERAL RESERVE

FOMC Decision | March 18, 2026 — RATES HELD at 3.50–3.75% (11-1 vote)

The Federal Reserve voted to hold rates steady. The lone dissent came from Governor Stephen Miran, who favored a 25 bps cut on labor-market concerns. The updated dot plot signals **only one cut in 2026** and one more in 2027. Powell noted that near-term inflation expectations have risen, "likely reflecting the substantial rise in oil prices caused by supply disruptions in the Middle East." The 2026 inflation forecast was revised UP to 2.7% (from 2.4%). GDP forecast held at 2.4%. Powell confirmed he will remain at the Fed until an ongoing DOJ probe is resolved.

Key Upcoming Economic Events:

Date	Event	Significance
Apr 3, 2026	March Jobs Report (BLS)	Primary labor market read; any softness strengthens cut case
Apr 10, 2026	March CPI Inflation	Feb CPI: +2.8% YoY; oil surge could push March print higher
Mar 31, 2026	Nike Q3 FY2026 Earnings	Consumer bellwether; Q2 beat by 43% EPS

GEOPOLITICS | U.S.-ISRAEL-IRAN WAR — THE PRIMARY MARKET DRIVER

The ongoing U.S.-Israel military campaign against Iran, which began around March 1, 2026, has become the dominant force in global markets. The conflict is being compared to the 1970s oil crisis in terms of its potential economic impact.

- **STRAIT OF HORMUZ RISK:** Iran has threatened to close the Strait, through which ~20% of global oil supply transits. Any closure could send Brent to \$166/barrel per analyst scenarios.
- **ISRAEL STRIKES GAS RESERVES:** On March 18, Israel struck the world's largest natural gas reserve, sending Brent crude up 5%+ to nearly \$110/barrel.
- **NETANYAHU FRIDAY COMMENTS:** Israeli PM suggested Iran has lost nuclear/missile capability and that Israel is actively helping the U.S. reopen the Strait. This sparked mild futures optimism.
- **REGIONAL CONTAGION:** Iraq and Kuwait have begun cutting crude output; UAE and Saudi Arabia face risk. Airlines worldwide are rerouting, adding fuel costs and flight times.
- **OXFORD ECONOMICS WARNING:** Stagflation risk flagged if disruptions persist into Q2 2026.

SECTOR OVERVIEW

Sector	YTD / Trend	Key Drivers	Outlook
Energy	+25% YTD ▲	Oil at \$108/bbl; Hormuz risk premium	BULLISH — war premium persists
Defense	All-time highs	LMT +4%, NOC +6%; defense budgets rising	BULLISH — structural demand
Financials	+12% est. Q1	Deregulation, M&A revival, capital mkts	BULLISH — earnings strong
Technology	-8.8% Mag7 YTD	AI infrastructure fatigue; rotation out	NEUTRAL/BEARISH near-term
Healthcare	-8.8% Q1 est.	IRA drug pricing cuts; patent cliffs	BEARISH — avoid near-term
Travel/Leisure	Multi-wk lows	Fuel cost surge; Middle East reroutes	BEARISH — war headwind

TOP MOVERS & EARNINGS

Ticker	Move	Type	Driver
FDX	+9% AH	Earnings	Q3 FY2026 beat; raised FY guidance to \$19.30-\$20.10 EPS
LMT	+4%+	War Proxy	All-time high \$676.70; defense demand from Iran conflict
NOC	+6%	War Proxy	Stealth bomber & missile defense exposure; Iran war
XOM	+25% YTD	Macro	Oil surge; Brent at \$108-110/bbl
CVX	+25% YTD	Macro	Oil surge; clean energy + traditional portfolio
CCL	-12%	War Casualty	Travel disruption; Middle East flight reroutes
AAL	-7.4%	War Casualty	Fuel cost surge; Middle East airspace closures
NVDA	-11% peak	Rotation	AI infrastructure fatigue; investors want revenue proof
LLY	Downgrade	Analyst	HSBC cut; IRA obesity drug price cuts expected

FedEx (FDX) Friday Setup: After-hours +9% surge on Q3 earnings beat and raised full-year guidance (\$19.30–\$20.10 EPS vs. prior \$17.80–\$19.00). Freight spinoff on track for June 1. Watch for gap-up open. Key levels: prior close ~\$240; potential gap target \$260+.

COMMODITIES & CRYPTO

Asset	Price	Change	Key Level / Context
Brent Crude	\$108.65/bbl	+25% since war	Highest since Jul 2022; \$166 worst-case if Hormuz closes
WTI Crude	~\$104/bbl	+22% since war	CA gas above \$5/gal; demand destruction risk above \$120
Gold (Spot)	~\$4,810/oz	-2.3% day	ATH was \$5,589 Mar 2026; USD strength = pressure; watch \$4,750
Bitcoin (BTC)	~\$69,500	-3.5% post-Fed	OGs dumped \$117M post-FOMC; support ~\$65,000-\$67,000
Crypto Market Cap	\$2.30T	-1.45%	ETH ~\$233B; altcoins underperforming BTC

ANALYST UPGRADES & DOWNGRADES

Ticker	Action	Firm	Thesis
LMND	UPGRADE	Morgan Stanley	Tesla data partnership = competitive AI moat
ALGN	UPGRADE	Barclays	Pullback created attractive valuation entry
DOV	UPGRADE	Wells Fargo	Short-cycle industrial recovery thesis
ICHR	UPGRADE	Stifel	Improved margin trajectory
TNDM	UPGRADE	Piper Sandler	Pharmacy pricing + international market expansion
LLY	DOWNGRADE	HSBC	IRA obesity drug price cuts expected; growth headwinds
DKNG	DOWNGRADE	Argus	High customer acquisition costs; state tax headwinds
LI	DOWNGRADE	Goldman Sachs	2026 volume and margin guidance miss

TRADING STRATEGIES | March 20, 2026

SHORT-TERM PLAYS (Intraday to 1-2 Weeks)

EARNINGS GAP PLAY | FDX | ▲ LONG | Intraday / 3-5 Days

Entry: Gap open \$258-\$264 (confirm volume surge on open) Target: \$272-\$280 (prior resistance zone) Stop: \$250 (below gap support)

FedEx beat Q3 earnings and raised full-year EPS guidance by over 8%. Post-earnings gap-ups on beats of this magnitude often hold and extend. Freight spinoff catalyst (June 1) provides medium-term support. Risk: broader market weakness on Iran escalation could cap gains. Confirm with volume on open — avoid chasing if gap fades on open.

OIL PROXY MOMENTUM | XOM / CVX / OIH ETF | ▲ LONG | 1-3 Weeks

Entry: Dips toward 10-day MA on any ceasefire rumor (buy the pullback) Target: +8-12% from entry (oil at \$115+ = sector rerating higher) Stop: -4% from entry (genuine ceasefire announcement = immediate exit)

With Brent at \$108 and Iran-Hormuz risk ongoing, energy is the clearest macro trade. Netanyahu's Friday comments could cause a brief pullback — use it. Worst-case oil scenario (\$166) makes energy the ultimate hedge. XOM and CVX already up 25% YTD but momentum remains. OIH ETF offers diversified exposure. Exit quickly on confirmed ceasefire or Strait reopening.

200-DAY MA BREAKDOWN WATCH | SPY / ES Futures | ▼ SHORT | Intraday (conditional)

Entry: ONLY if S&P; 500 closes below 6,615 (200-day MA breach) Target: 6,450–6,500 (-2% from breakdown level) Stop: 6,660 (false breakdown stop)

The S&P; 500 has not closed below its 200-day MA (~6,615) since May 2025. A close below this level would be a significant technical breakdown triggering algorithmic selling and potentially accelerating the correction toward -10% from highs. This is a conditional trade — do NOT enter unless the close breach is confirmed. Monitor SPY closely into the final 30 minutes of trading.

DEFENSE SECTOR HOLD / ADD | LMT / NOC / RTX | ▲ LONG | 2-4 Weeks

Entry: Any pullback 2-3% from recent highs (take advantage of profit-taking) Target: +10-15% (war premium + budget increases priced in over weeks) Stop: Confirmed ceasefire / -5% from entry

Lockheed Martin hit an all-time high at \$676.70. Northrop Grumman is up 6%. Defense spending is a structural beneficiary of the Iran conflict and broader NATO rearmament trend. RTX advanced on day of Iran strikes. These names tend to hold gains through prolonged conflicts. Position size appropriately — geopolitical event risk is binary.

MEDIUM-TERM OUTLOOK (1-3 Months)

PRIMARY THEME: AI-TO-ENERGY ROTATION + DEFENSE POSITIONING

The defining trade of Q1 2026 is the rotation OUT of AI infrastructure plays (NVDA, MSFT, mega-cap tech) INTO energy majors and defense contractors. This rotation has significant momentum and is supported by fundamental drivers: (1) Oil at \$108+ with Hormuz risk, (2) AI fatigue — investors now demand revenue proof, not capex spend, (3) Record defense budgets post-Iran conflict, (4) Hawkish Fed (only 1 cut projected for 2026) pressuring high-multiple tech. Until the Iran conflict resolves AND Fed pivots dovish, this rotation is unlikely to reverse.

Category	Directional View	Key Names	Conviction
Energy	OVERWEIGHT / BULLISH	XOM, CVX, Cheniere, OIH	HIGH
Defense	OVERWEIGHT / BULLISH	LMT, NOC, RTX	HIGH
Financials	OVERWEIGHT / BULLISH	JPM, GS, BAC (Q1 +19%)	MEDIUM-HIGH
Agentic AI	SELECTIVE / BULLISH	AI deployment co's (not infra)	MEDIUM
Mega-Cap Tech	UNDERWEIGHT / NEUTRAL	NVDA, MSFT, AAPL, GOOG	MEDIUM
Healthcare	UNDERWEIGHT / BEARISH	LLY, PFE (IRA headwinds)	HIGH
Airlines/Travel	UNDERWEIGHT / BEARISH	AAL, CCL, UAL	HIGH
Crypto	NEUTRAL / WAIT	BTC, ETH	LOW
Gold	NEUTRAL / ACCUMULATE	GLD, PHYS	MEDIUM

KEY TECHNICAL LEVELS TO WATCH

Asset	Bearish Trigger	Bullish Trigger	Critical Zone
S&P 500	Close below 6,615 (200-DMA)	Reclaim 6,700+	6,615 — most important
NASDAQ	Breakdown below 21,800	Reclaim 22,500	-8% from Oct ATH; near correction
Brent Crude	Drop below \$95 (ceasefire)	Break above \$115	\$108-\$115 = war premium zone

Gold	Break below \$4,750	Reclaim \$5,000+	Pullback from \$5,589 ATH
Bitcoin	Close below \$65,000	Reclaim \$74,500 (pre-Fed ATH)	\$69-70K = current battleground
FDX	Gap fill back to \$242	Hold \$258+ on open	Today's earnings gap is the test

TODAY'S WATCHLIST | March 20, 2026

- **FDX:** Gap-up earnings play. Confirm volume on open. Target \$272-\$280.
- **XOM / CVX:** Buy any dip from Netanyahu ceasefire comments. Hold for \$115+ Brent.
- **LMT / NOC:** Defense leaders — hold positions; add on 2-3% pullbacks.
- **SPY / ES:** Watch 6,615 (200-DMA). Short ONLY on confirmed close below.
- **OIH:** Oil services ETF — diversified energy exposure with lower single-stock risk.
- **GLD:** Accumulate gold near \$4,750-\$4,800 support. Geopolitical hedge.
- **BTC:** Monitor \$65,000-\$67,000 support. No new entries until Fed clarity.
- **AVOID: AAL / CCL / LLY / NVDA:** War headwinds, IRA cuts, AI rotation — stay out.

RISK FACTORS & KEY HEADLINES TO MONITOR

- ! Strait of Hormuz update — any confirmed closure = immediate energy spike, market sell-off
- ! Iran military escalation / retaliation signals — watch Al Jazeera, Reuters breaking news
- ! Any Fed speaker comments on emergency rate cut (dovish pivot = risk-on rally)
- ! S&P; 500 200-day MA (6,615) — algorithmic trigger level; technical community watching closely
- ! FDX gap behavior at open — whether earnings gaps hold or fill sets the tone for earnings season
- ! Oil above \$115 — demand destruction threshold; airlines, consumer stocks reprice lower
- ! Jobs report (April 3) — soft labor data could revive rate-cut expectations and boost equities

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Daily Market Overview | March 20, 2026 | Generated by Claude AI